Why Do I Need to Understand This?

You may be eager to skip a chapter on retirement when you have only just started, or not even started, your own professional career. Although you may not retire until the year 2070 or later—which even to someone in their thirties, like me, doesn't sound like a real year—the earlier you start saving for retirement, the easier it will be to live comfortably when you get there.

Let's quickly examine what retirement looks like. Retirement is the part of your life where you are no longer working, which means you are no longer getting a paycheck. Because you do not have a paycheck, you need to have saved enough money at that point to basically last you the rest of your life. Hopefully you will have saved a very large amount of money, and you will be able to withdraw enough money each month from your large retirement account to live in comfort. If you have very little saved, then you will have a small, difficult budget to work with in retirement. For example, if you have $1 million saved (which is very doable over 40 years), your income in retirement may be around $40,000 per year; if you only have $100,000 saved, your retirement income may only be around $4,000 per year.

Saving for retirement is incredibly important, and you need to create a dedicated category for it in your budget as early as possible. Currently, the average age of retirement in the U.S. is 62[43] and the average life expectancy is about 79[44]. This means you should plan to have enough money saved by age 62 to last you around 20 years or more. Like so many things in this book,

43 Chris Hogan, "What Is the Average Retirement Age?," DaveRamsey.com, September 27, 2017, https://www.daveramsey.com/blog/average-retirement-age.

44 "Life Expectancy," CDC/National Center for Health Statistics, last modified October 30, 2020, https://www.cdc.gov/nchs/fastats/life-expectancy.htm.